LENDING TO AGRICULTURE

The SBI was born on the recommendations of the Committee of Direction of the AIRCS and was expected to be especially responsive to the needs of rural development. While the primary responsibility of providing direct agricultural finance to farmers was entrusted to the cooperative credit societies and land mortgage banks, the SBI was expected to augment their finances by supporting their debenture programmes.[11] Given the poor health of cooperative credit institutions, the much expected expansion in cooperative credit could not be achieved. Also, with the advent of the Green Revolution, the policy of depending on cooperative credit institutions as the only channel of institutional finance to agriculture had to be reviewed as its emphasis on intensive use of high-cost inputs gave rise to additional demands of credit from the agricultural sector.

In July 1969, fourteen banks were nationalized inaugurating the era of social control over banks. Three years before this event, the RBI had appointed the All India Rural Credit Review Committee under the Chairmanship of B. Venkatappiah, member of the Planning Commission and a former Chairman of the bank. Talwar was a member of this Committee and in its report of July 1969 suggested enlargement of the activities of various institutional credit agencies. Its recommendations included the setting up of special agencies like Small Farmers Development Agencies and Marginal Farmers and Agricultural Labour Agency, to secure the involvement of small and marginal farmers in the programme for increased agricultural production.[12] Since the cooperative credit structure could not be depended upon to handle the demand for credit, the commercial banks with an ever expanding network in rural areas would have to pitch in to meet the fast-growing credit needs of the agricultural and allied sectors.

As the biggest bank in the public sector the SBI took the initiative and in 1968 started financing all agricultural operations including allied activities like animal husbandry, dairy farming, and the like. Finance was provided not only for working capital needs but also for mechanization and modernization of farms, provision of irrigation facilities, and development of land.